The Six Sections

What a strategy validation report answers. Every strategy that wants capital gets one report with these six sections, produced by the pipeline you build together. The verdicts are PASS / SUSPECT / FAIL, backed by numbers and at least one figure a trader could read.

1 · LUCK

Is the edge distinguishable from chance?

A backtest hands you one number from one path of history. This section replaces the number with a distribution: resample the P&L, build the no-skill alternative, and ask how far the observed result really sits from what luck produces. It also corrects for selection — the best of many tries always looks brilliant — by deflating results for the amount of searching that was DECLARED. Whether the declaration is true is not this section's problem: Luck computes on stated inputs; Lineage checks the statements.

2 · LINEAGE

Was the test honest?

The most dangerous failures aren't statistical — they're informational. Did the strategy only use what it could have known at decision time?

3 · FRICTION

Does it survive contact with the market?

Backtests fill at prices nobody offers. This section re-prices the recorded trades under progressively more honest execution assumptions and watches how fast the edge decays. The second trap a hold-out set misses: a strategy whose edge is smaller than the spread still 'works' on future data if you keep filling it at mid.

4 · SHELF-LIFE

Will it keep working — and does it work everywhere?

An edge that lives in three cells of a heatmap, or died six months ago inside a still-positive full-sample Sharpe, is not the edge the summary table describes. This section makes time and regime first-class: where in the sample, where in the week, where in the day does the money actually come from?

5 · EVIDENCE

How much can we trust all of the above, given the data we have?

Every verdict above is only as strong as the sample behind it. This section stamps each one with its weight of evidence, so a brilliant 120-day backtest and a decent 546-day one are never read the same — and it owns the aggregation rule: how six sections become one verdict, and what SUSPECT actually means.

6 · THE WARRANTY

Is the live strategy the one we approved?

Approval is not a verdict, it's a covenant with an expiry date. Every approved strategy ships with a warranty: the envelope of performance the backtest promised, and the alarms that fire if the live strategy leaves it. Today the 'future' is a sealed six months of data, unsealed at the reveal — the warranties get tested against it the same day they are written. On real strategies, the warranty is what runs forever.

> **How today works with these.** You get the Submissions Book, the trade blotters, the market data, and the registry. Six further months of data exist and are sealed. As one team, you build an automated validation report that covers these six sections and runs over every submission; each verdict carries its evidence, and each strategy you would fund gets a warranty. At the reveal, two things are unsealed: the truth about the seven, and the future. Your verdicts are scored against the first; your warranties against the second.

Scalar Energy quant team kickoff · companion to the Submissions Book and start-here notebook